

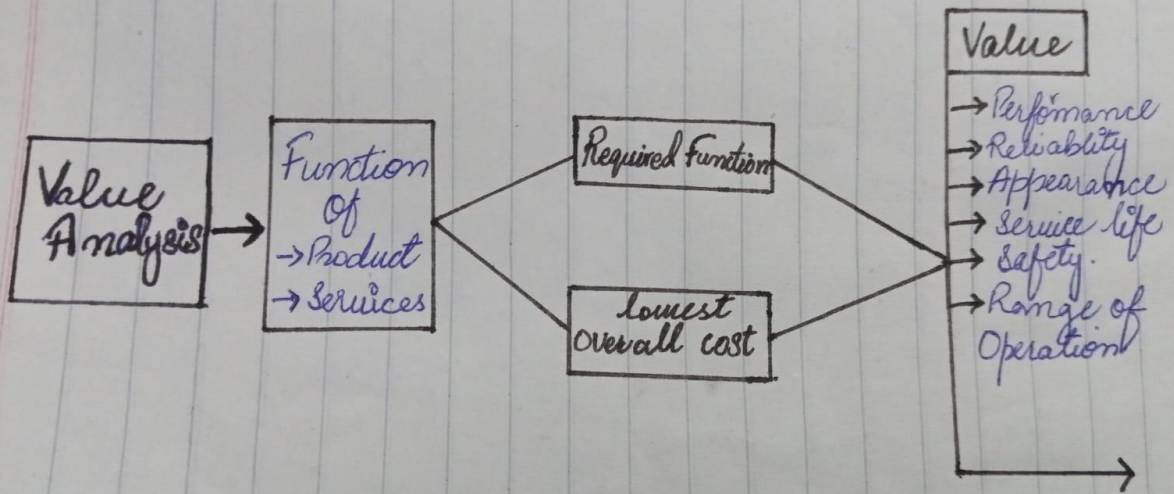
Value Analysis

Value Analysis is the one of the major techniques of cost reduction.

It is a disciplined approach that ensures the necessary functions at minimum cost without compromising on quality, reliability, performance and appearance ²²

Value analysis aims at a systematic identification and elimination of unnecessary cost resulting in the increased use of alternatives, less expensive material, cheaper design etc. to provide the same performance, quality and efficiency and in a decrease of over all costs and consequently greater profits.

Value analysis is also known as value engineering, value assurance and value management.



Q Aims Of Value Analysis / Engineering.

- Simplify the product
- Use cheaper and better materials.
- Improve product design.
- Reduce the product cost
- Increase the profits.

When to apply Value Analysis.

- Company's product are losing the market and there is a decline in sales.
- Company's products are priced higher than the competitors
- When the cost of the manufacturing ^{is} ~~cost~~ high
- Decreasing Profitability
- When companies is unable to meet delivery schedules.

Uses Of Value Analysis.

- It reduces the cost of Product.
- Balance the cost and performance.
- Motivate employees to come out with creative ideas.
- Helps to satisfy the customer with the company's product.
- It prevents over designed of components.